

⇒ This is simple example of sale

## Cash System of Accounting:

- ⇒ it is a system in which accounting entries are made only when cash is received or paid, whether they are related to current year or not.
- ⇒ Financial transactions are recorded only when cash is received or paid out.
- ⇒ Does not record every transaction.

example:

A business sells a product for \$100 on credit. Under cash accounting, the revenue is not recorded until customer pays the \$100 in cash.

- ⇒ Used for small businesses with limited transactions.



## Accrual accounting system:

⇒ It is a system in which accounting entries are made only on the basis of amount having become due for payment or receipt.

⇒ Accrual accounting is an accounting method that records revenue when earned and expenses when incurred, regardless of when cash is actually received or paid. Relating to the current accounting example: <sup>periopt.</sup>

⇒ A customer buys \$5 glasses of lemonade for \$10 but promises to pay next week. In accrual system, \$10 write down as income, even does not have the cash.

## Debtors / Accounts Receivable: (شخص یا اشخاص پر قرضہ دار)

⇒ Debtors are the persons or customers to whom goods have been sold on credit basis and from whom the business is to receive money in near future. There are also known as Accounts Receivable.

⇒ A person who owes money to someone else.



## Creditors / Account payable:-

⇒ Creditors are the persons or customers to whom goods have been purchased on credit basis and to whom the business is to pay money in near future.

⇒ These are also known as "Accounts payable."

⇒ It is considered a liability on a company's balance sheet because it represents a debt the company owes.

⇒ A creditor is someone who has lent money or provided goods or services on credit and is waiting to be paid back.

## Separate entity Concept:-

⇒ According to this concept business is treated as a separate entity from its owners.

⇒ This means the business financial records should be kept distinct from the personal financial records of the owners.

⇒ It accurately measures the business's performance and financial position.



e.g. A business owner's personal assets and liabilities are not included in the business's financial statements.

Define cash discount? (reduction in the invoice amount)

⇒ it is a deduction or allowance given by a creditor to a debtor if the amount is paid by the debtor before the due date.

⇒ This discount is typically expressed as a percentage of the total invoice for early payment and is meant to encourage customers to pay their bills more quickly, improving the seller's cash flow.

example:

if a company issues an invoice for \$1,000 with terms "2/10, net 30" the buyer can pay \$980 (a 2% discount) if they pay within 10 days. if they pay after 10 days but within 30 days, they must pay the full \$1,000.

Define drawings?

The amount of goods taken by the owner/owners from the business for his personal use are known as "drawings".

They reduce the owner's equity in the business. Not considered an expense.

Drawings are common in businesses.



Where the owners are also personally involved, like sole proprietorships and partnerships.

example:

if a business owner withdraws \$1,000 from their business account for personal use, then \$1,000 is recorded as drawing. it decreases the total capital or equity the owner has in the business.

Q. What is dual aspect concept?

⇒ According to this concept:

"For every debit, there is an equivalent credit".

⇒ means:

The total amount debited must always equal the total amount credited.

example:

A business purchases office supplies for \$500 in cash.

office supplies → debit/500 <sup>increased by</sup>  
cash → credit/500 <sub>decreases</sub>

⇒ This ensure debit is always equal to credit.



## Q. What is cost concept?

⇒ According to this concept:

An asset is ordinarily entered on the accounting record at the price paid to acquire it.

⇒ it states:

Assets should be recorded and reported at their original purchase or historical cost.

⇒ This price stays the same in the accounting records/balance sheet, even if the item's market value changes later. They will remain at its initial cost.

⇒ This approach keeps the financial records consistent and based on real, verifiable costs.

example: if a company purchases a piece of machinery for \$10,000, it records the machinery on the balance sheet at \$10,000. Even if the market value of the machinery increases or decreases in the future, it continues to be recorded as its original purchase cost of \$10,000, unless there is a specific accounting rule that requires revaluation (e.g. impairment).



## Concept:

|                     |                       |           |
|---------------------|-----------------------|-----------|
| Outstanding expense | Due, but not paid     | Liability |
| Prepaid expense     | Paid in Advance       | Asset     |
| Accrued income      | Due, but not received | Asset     |
| Advanced income     | Received in Advance   | Liability |

## Q. Define Going Concern Concept:

⇒ According to this concept:

"Assumed that the business will continue to operate for an indefinite or long period of time, rather than being liquidated or forced to discontinue its operations."

⇒ This affects asset valuation, revenue recognition, expense matching and deferred taxes.

⇒ If there's doubt about a company's future, financial statements need to be prepared differently.

e.g. A new restaurant is opening and has invested heavily in kitchen furniture and decor. The restaurant's F.S are prepared on the assumption that it will continue to operate indefinitely and attract customers.



⇒ This allows for the valuation of its assets based on their long-term use in generating revenue from good sales and customer patronage.

## Q. Define money measurement concept?

⇒ According to this concept:

Accounting records only those transactions or events, which can be measured in terms of money.

⇒ All assets, liabilities, revenues and expenses must be measured and reported in a consistent currency such as US dollars, euros or rupees.

## Q. Define Accounting Period Concept?

— span of time for which a business generally prepares.

⇒ According to this concept: its financial stmts.

The life of the business is divided into a series of relatively short accounting periods of equal lengths for studying the results shown by the business.

⇒ This helps businesses understand their profits, compare different periods and follow the rules.

⇒ There are two types of accounting period:

- Calendar Year.
- Fiscal Year.



## Matching concept:

Expenses are matched with the revenues they help generate

⇒ The concept of offsetting expenses against revenue on the basis of "cause and effect" is called matching concept.

⇒ Means that if a cost is incurred to earn revenue in a particular period, that cost should be recognized as an expense in that same period.

⇒ Like paying for something when you use it.

⇒ Help for:

- Accurate Profit measurement
- Decision-making
- Compliance

### example:

- A Company purchases advertising materials in January to promote a product that will be sold in February.
- According to matching concept, the cost of the advertising materials should be recognized as an expense in February, when the product is sold and revenue is earned.



Revenue is recognized when it is earned, regardless of when it is received.

## Q. Define Realisation Concept?

⇒ According to this concept:

Revenue should be recognized at the time when goods are sold or services are rendered.

⇒ Revenue should only be recorded when it is realized, means income is recognized when a business has earned it, not necessarily when it receives payment.

ex:

**Sale of Goods:** When a company sells a product, revenue is recognized when the product is delivered to the customer, regardless of when payment is received.  
Service revenue etc.

## Q. Define Trade discount?

○ Discount allowed by manufacturer or wholesaler at the time of selling goods to retailers as a deduction from list price or catalogue price is called trade discount.

○ Typically given to encourage bulk purchases or to establish a business R/S.



- Trade discounts are not recorded separately in the accounting records.

### example:

- The regular price of the laptop is \$1000. However, the store is offering a 10% trade discount if you buy it today.

List price = \$1,000

Trade discount = 10%

Discount amount =  $\$1000 \times 10 = \$100$

Net price =  $\$1000 - \$100 = \$900$

### Define purchases?

- o Saleable goods are brought in a business then it is said purchases have been made.
- o Acquisition of goods or services for resale or use in the business.
- o They can be either cash purchases or credit purchases.

### ex:

A grocery store buys a shipment of apples from a supplier. The cost of the apple is \$1000.



• if the store pays cash:

Purchases  $\rightarrow$  Dr

Cash  $\rightarrow$  Cr

• if the store buys on credit:

Purchases  $\rightarrow$  Dr

A/c payable  $\rightarrow$  Cr

## Define sales.

The goods are purchased for selling purposes. When these goods are sold to customers at a specific price, it is said that sales have been made.

• Revenue generated by a business from the sale of goods or services. It represents the income earned.

ex:

A clothing store sells a pair of jeans for \$50.

Cash / A/c Rec.  $\rightarrow$  Dr

Sales Revenue  $\rightarrow$  Cr

## Carriage:

Carriage is expense. Transport charges on goods purchased or sold.



Q. Define return outwards?

⇒ Goods once purchased may subsequently be sent back to the seller for certain reasons. Goods for defective or not according to specification, damaged or below standard. Such return of goods to the seller known as return outwards. Purchase return.  
ex:

Q. Define return inwards?

⇒ If a customer to whom goods have been sold finds that the goods are defective, unsatisfactory, below standard or not according to specification, damaged or below standard, he may return these goods to the seller. To the seller such return of goods is known as sales return.  
ex:



## Debts:

Amount receivable by the business from its debtors is known as debts.

## Bad debts:

The debts which are irrecoverable from the debtors are called bad debts, and the concerned debtors are called debtors.

## Doubtful Debts:

The debts, the recovery of which is doubtful or uncertain are known as doubtful debts. It is expected loss of the business.

example:



## Allowances for Uncollectable / Provision of doubtful debts:

⇒ The provision, which is maintained for doubtful debts in future, is known as provision for doubtful debts or allowances for uncollectable.

## Provision for discount on Debtors:

⇒ Provisions, which is created for those debtors, who pay their debts within the discount period, is known as provision for discount on debtors.

⇒ it is possible loss of the business.

## Bad debts recovered:

⇒ The debts which are written off as bad, if recovered in future are called bad debts recovered.



## Double-entry System:

⇒ The System under which both the changes in a transaction are recorded. one change is debited, while the other change is credited with an equal amount.

## Single-entry System

⇒ A system in which sometimes both aspects of a transaction are recorded, sometimes only one aspect of a transaction is recorded and sometimes no aspects of a transaction is recorded is called single entry system.

## Account

⇒ Account is the individual record of an asset, liability, revenue, an expense or capital in a summarized manner.

ex: Nominal  
Personal  
Real



## Nominal Accounts

⇒ Accounts which are related with expenses, losses and gains are known as nominal accounts.

- ex:
- Carriage in
  - Loss by theft

## Real or property Accounts

⇒ Accounts which are related with properties or things owned by a business are known as real or property accounts.

- e.g:
1. Land
  2. Building
  3. Office equipment

## Personal Accounts

⇒ Accounts which are related with persons or institutions are known as personal accounts.

- e.g:
1. Habib Bank
  2. Debtor's account
  3. Creditor's account



# Accounting versus Accountancy

## Allowances:

Sometimes, the customers find that goods purchased have minor defects. In that case, seller may agree to reduce the price of damaged or defective goods to induce the buyer to keep the goods. Such reduction in price is known as "Purchase allowance" to the buyer and "Sales allowance" to the seller.



## Journal Proper:

The books of accounts where all the transactions for which there are no special journals are primarily recorded is known as "journal proper" or "General journal".

## Opening entries:

At the beginning of every year, new books of accounts are opened. The closing balances of all the accounts (Assets A/c, Liabilities A/c, Capital A/c) will be the opening balances of the new year. Entries are necessary to bring these balances in the books of accounts of the new year. These entries are known as opening entries.

## Closing entries:

At the end of every accounting period all accounts relating to expense and revenues are closed by transferring their balances to trading and P & L A/c. Entries necessary for such transfer, called closing entries.



## Rectifying entries:

If there is any error in the books of accounts, it must be rectified. But errors are not rectified by erasing the wrong figures. All errors are rectified by passing fresh journal entries. These entries are known as rectifying entries.

## Residual entries:

All those transactions, which cannot be recorded in any special journal are known as residual transactions. And entries for such transactions are known as residual entries.

## Accounting Cycle:

Transaction → Journal → Ledgers  
→ Trial balance → Final accounts.

## Trading Account:

Trading account shows the gross result (Gross profit or Gross loss) of the business.



## Balance Sheet:

it is a statement of assets, liabilities and owner's equity, which shows the financial position of the business on a particular date. it is also called position statement, and Statement of financial position.

## Fixed Liabilities:

Fixed liabilities, which are repayable after a long period of time.

ex: Debentures, Loan on mortgage, Capital etc.

## Real Assets:

• Assets which have some market value.

ex: Building, machinery, stock debits, Cash, Goodwill etc.

## Contingent Liabilities:

is not a liability at present but may or may not become liability in future. it depends on certain future event.



## Marshalling:

An arrangement in which assets and liabilities are shown in the balance sheet is known as the marshalling.

## Fictitious Assets:

which have no market value.

ex: Preliminary expenses

Loss on issue of shares

or debentures etc.

## Quick Liabilities:

• Debts which are repayable in the course of one month are called liquid or quick liabilities.

ex: Bank overdraft, Creditors, outstanding expenses.

## Quick Assets:

• Assets which can be converted into cash very quickly or which are already in the form of cash called Quick Assets.

ex: cash in bank, cash in hand etc



## Deferred Liabilities:

Debts, which are repayable in the course of <sup>more than</sup> one month, or less than one Year.

ex: short-term loan.

## Internal Liabilities:

The total amount of debts payable by the business to the its owners are called internal liabilities.  
e.g Capital.

## External Liabilities:

The total amount of debts payable by the business to the outsiders (other than the owners) are called external liabilities.  
e.g Creditors, Bills payable, etc.

## Current Account:

In current account a customer is allowed to deposit or withdraw the money from the bank according to his own will. Generally, bank allows no interest on current account.



## Fixed Account:

In fixed account, the amount can be withdrawn from bank after fixed determinable period of time. The bank allows interest on fixed account.

## PLS Saving Account:

An account in which deposits can be made only up to certain limit and the customer is not allowed to withdraw the amount from such account twice or thrice a week is called PLS saving account. Also known as P & L account.

## Contra entry:

→ An <sup>entry</sup> made to reduce the balance of an account.

example:

Recording a contra entry to reduce the balance of Acc depreciation.

## Cash Memo:

→ A document issued by a seller to a buyer as proof of a cash sale.



## Bank statement:

→ Issued by a bank to a customer, showing the customer's transaction & A/c balance.

## Accounting conventions: → customs or traditions which guide the accountant while communicating the accounts

◦ Generally accepted accounting principles that guide financial reporting.

e.g.

Consistency principle, going concern etc.

- Convention of conservation
- Convention of consistency
- Convention of materiality

◦ Convention of full disclosure

## (PP-2019) - II

- Drawings
- Current Assets
- Credit Transaction
- Journalizing
- Contra entry
- Liabilities
- Cash Memo
- Bank statement
- Ledger
- Depreciation
- Accrued expenses
- Provision
- Adjusting entries
- Unearned income
- Dual Aspect concept
- Accounting convention